

## Coca-Cola

### In Sp(r)ite of It All, KO Delivered a Solid Q3 Despite Tough Start to Quarter; Best-in-Class Staples, Reiterate OW Post 3Q25

The Coca-Cola Company (KO, Overweight rated) jumped a lowered bar in 3Q25 and reiterated headline 2025 guidance following more cautious intra-quarter commentary, leading shares higher post-print (KO +4.1% vs. XLP -0.5%). KO continued to demonstrate why it is among the best houses on a generally lackluster Staples block and — delivering +1% unit case volumes despite a slow start to the quarter, ongoing pressure on certain consumer segments (lower income, Hispanic), and poor weather that impacted key markets. KO continues to adapt quickly to respond to the evolving landscape and we're encouraged that trends improved in September due to company interventions and some abating headwinds (e.g., weather). Comparisons are tough in 4Q and EPS growth will be limited by reinvestment as the company aims to position for 2026, although both well appreciated by the Street.

**We continue to view KO favorably within our coverage universe with potential for further relative strength as (1) top-line growth should continue to outpace most peers with strong track record of agile commercial execution as operating environment evolves and delivering consumer-centric marketing/innovation; (2) KO has been remarkably consistent in volume delivery over the past ~7-8 years with diversified geographic footprint enabling balanced growth despite dynamic operating environment and pockets of softness in certain markets/consumer segments over that time; (3) FX headwinds abating could be a source of stronger earnings growth in 2026; and (4) strong profit delivery (12th quarter of YOY EBIT margin expansion), free cash flow poised to inflect as the company moves past tax/M&A related payments and low leverage allows for flexibility. We continue to see KO as well positioned to deliver near/above the higher-end of guidance for '25 (OSG and EPS estimates at +5.6% and \$2.99, respectively) and believe KO is positioned to deliver on-algorithm in '26 even with some uncertainty on Mexico.**

**Our Dec-26 target price of \$79 is based on 22.7x our 2027 EPS of \$3.48 with the multiple based on KO's 10-year historical average.** We are also updating our estimates following the company's 3Q25 earnings results, conference call, and follow-up group conversation with Robin Halpern, VP of Investor Relations.

## Overweight

**KO, KO US**  
Price (21 Oct 25):\$71.22  
**Price Target (Dec-26):\$79.00**

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### Key Changes (FYE Dec)

|                       | Prev   | Cur    |
|-----------------------|--------|--------|
| Revenue - 25E (\$ mn) | 48,392 | 48,305 |
| Revenue - 26E (\$ mn) | 51,018 | 50,969 |
| Adj. EPS - 25E (\$)   | 2.98   | 2.99   |
| Adj. EPS - 26E (\$)   | 3.20   | 3.21   |

### Quarterly Forecasts (FYE Dec)

| Adj. EPS (\$) | 2024A | 2025E | 2026E |
|---------------|-------|-------|-------|
| Q1            | 0.72  | 0.73A | 0.85  |
| Q2            | 0.84  | 0.87A | 0.94  |
| Q3            | 0.77  | 0.82A | 0.88  |
| Q4            | 0.55  | 0.56  | 0.54  |
| FY            | 2.88  | 2.99  | 3.21  |

### Style Exposure

| Quant    | Current | Hist %Rank (1=Top) |    |    |    |
|----------|---------|--------------------|----|----|----|
| Factors  | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value    | 85      | 88                 | 86 | 84 | 88 |
| Growth   | 99      | 97                 | 82 | 55 | 89 |
| Momentum | 49      | 36                 | 33 | 46 | 84 |
| Quality  | 19      | 18                 | 23 | 16 | 16 |
| Low Vol  | 1       | 1                  | 1  | 1  | 16 |
| ESGQ     | 91      | 82                 | 20 | 3  | 10 |

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

### See page 9 for analyst certification and important disclosures.

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## Price Performance



|     | YTD   | 1m   | 3m    | 12m    |
|-----|-------|------|-------|--------|
| Abs | 9.9%  | 3.0% | -2.0% | -2.8%  |
| Rel | -4.6% | 2.0% | -9.0% | -17.9% |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 4,321       |
| 52-week range (\$)          | 74.38-60.62 |
| Market cap (\$ mn)          | 307,741.60  |
| Exchange rate               | 1.00        |
| Free float (%)              | 81.9%       |
| 3M ADV (mn)                 | 15.47       |
| 3M ADV (\$ mn)              | 1,052.6     |
| Volatility (90 Day)         | 15          |
| Index                       | S&P 500     |
| BBG ANR (Buy   Hold   Sell) | 29 3 0      |

## Key Metrics (FYE Dec)

| \$ in millions                 | FY24A  | FY25E  | FY26E  | FY27E  |
|--------------------------------|--------|--------|--------|--------|
| <b>Financial Estimates</b>     |        |        |        |        |
| Revenue                        | 46,897 | 48,305 | 50,969 | 53,390 |
| Adj. EBITDA                    | 15,160 | 16,163 | 17,324 | 18,491 |
| Adj. EBIT                      | 14,085 | 15,038 | 16,057 | 17,093 |
| Adj. net income                | 12,463 | 12,884 | 13,819 | 14,923 |
| Adj. EPS                       | 2.88   | 2.99   | 3.21   | 3.48   |
| BBG EPS                        | 2.85   | 2.98   | 3.19   | 3.41   |
| Cashflow from operations       | 6,805  | 5,914  | 14,307 | 15,752 |
| FCFF                           | 4,741  | 3,714  | 12,036 | 13,373 |
| <b>Margins and Growth</b>      |        |        |        |        |
| Revenue Growth Y/Y (%)         | 2.4%   | 3.0%   | 5.5%   | 4.8%   |
| Total Organic Sales Growth (%) | -      | -      | -      | -      |
| Gross margin                   | 61.1%  | 61.3%  | 61.3%  | 61.5%  |
| EBITDA margin                  | 32.3%  | 33.5%  | 34.0%  | 34.6%  |
| EBITDA Growth Y/Y (%)          | 4.8%   | 6.6%   | 7.2%   | 6.7%   |
| EBIT margin                    | 30.0%  | 31.1%  | 31.5%  | 32.0%  |
| Net margin                     | 26.6%  | 26.7%  | 27.1%  | 28.0%  |
| Adj. EPS growth                | 7.2%   | 3.5%   | 7.5%   | 8.3%   |
| <b>Ratios</b>                  |        |        |        |        |
| Net debt/EBITDA                | 2.1    | 2.3    | 1.9    | 1.6    |
| ROIC                           | -      | -      | -      | -      |
| ROE                            | 49.1%  | 47.6%  | 43.6%  | 40.6%  |
| <b>Valuation</b>               |        |        |        |        |
| FCFF yield                     | 1.5%   | 1.2%   | 3.9%   | 4.4%   |
| Dividend yield                 | 2.7%   | 2.9%   | 2.9%   | 3.1%   |
| EV/Revenue                     | 6.6    | 6.5    | 6.1    | 5.8    |
| EV/EBITDA                      | 20.5   | 19.4   | 18.0   | 16.6   |
| Adj. P/E                       | 24.7   | 23.8   | 22.2   | 20.5   |

## Summary Investment Thesis and Valuation

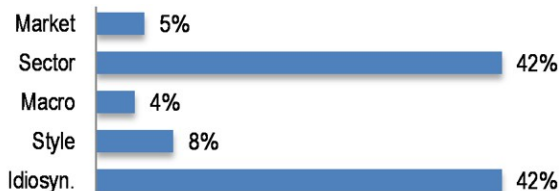
### Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

### Valuation

Our Dec 2026 price target is \$79, based on 22.7x P/E (in-line with KO's 10-year average multiple) on our 2027 EPS estimate of \$3.48, despite some deceleration in volume (still best-in-class), better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$79 price target implies ~11% upside potential in the next approximately 14 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

## Performance Drivers



| Factors                 | 6M Corr | 1Y Corr |
|-------------------------|---------|---------|
| Market: MSCI US         | 0.25    | 0.22    |
| Sect: Cons Staples      | 0.76    | 0.67    |
| Ind: Food Bev & Tobacco | 0.78    | 0.77    |
| <b>Macro:</b>           |         |         |
| US Dollar               | -0.42   | -0.32   |
| US 10yr yield           | 0.02    | -0.18   |
| Economic Surprise       | 0.07    | -0.13   |
| <b>Quant Styles:</b>    |         |         |
| DivYld                  | 0.29    | 0.44    |
| LowVol                  | 0.44    | 0.37    |
| Momentum                | 0.06    | -0.28   |

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Better-than-Expected OSG Against Lower Bar Given More Cautious Commentary Intra-Quarter.** OSG of +6% (or +7% on unit case volume basis) positive surprised a lowered bar into earnings (CM +4.6%; down from +5.9% at beginning of September) following management commentary at a competitor conference on September 3 where COO Braun warned on slower-than-expected momentum in some key markets like Mexico, India, Vietnam, and Thailand. Indeed, management noted on the earnings call that volumes got off to a slower start in July and August but the company saw improved performance in September and CFO Murphy noted that two-year volume trends accelerated each month of the quarter.
- **KO Continues to Demonstrate Ability to Adapt Quickly to Evolving Environment.** We believe KO's performance in 3Q was emblematic of the company's ability to pivot in response to the consumer landscape — management noted that the improvement in September volume performance was driven more so by the company's own marketplace interventions relative to an improvement in the underlying operating environment. In response to what it was seeing in July and August, the company and its bottling partners increased marketing, innovation, commercial execution, and focus on RGM/affordability. Looking ahead, management doesn't seem to be baking in any material changes in the operating environment in 4Q and comparisons get tougher (i.e., lapping +2% unit case volumes vs. -1% in 3Q), so we expect the company will continue to invest behind demand generation to support volume performance.
- **Initial Thoughts on 2026 Signal Confidence in Outlook, in Our View, Despite Ongoing Macro Puts/Takes and Potential Mexico Impacts.** While not providing detailed guidance, CFO Murphy shared some initial broad strokes on how the company is thinking about 2026 including focus on “driving balanced top-line growth with volume as a key priority” and expectation that pricing benefit will normalize as inflation moderates. Within price/mix the company plans to continue leaning into both affordability and premiumization as the consumer/market dictates. CEO Quincey added that “our long-term objective remains to grow volume as a way of expanding our consumer franchise and earning the right to pricing so that we can stay at the top-end of our revenue growth algorithm.” To be sure, there will likely be some headwinds to 2026, at least in the earlier parts of the year, including ongoing pressures on some segments of the consumer population (e.g., lower income) and tax increase on sugary beverages in Mexico, but we believe KO and its bottling partners will continue to use levers to respond including aforementioned marketing, innovation, execution, and RGM. KO's diversified global footprint also allows for pockets of weakness in certain markets to be offset by strong performance in others. From a margin perspective, FX looks set to be a slight tailwind to EPS growth in 2026 following four consecutive years and 14 of past 15 years of being a headwind to EPS growth and the company should continue to lean into productivity to drive underlying margin expansion. Commodity inflation is expected to be manageable. We also note that due to calendar shifts, 1Q26 will have six additional days and 4Q26 will have six fewer days.
- **CCBA Transaction Last Big Piece of Refranchising - Structural Benefit to Margins Should Bring Company Closer to Mid-30s%.** Tuesday morning, KO announced an agreement to sell 41.52% of its 66.52% stake in CCBA to CCH (covered by Philip Spain) in a transaction that values CCBA equity at \$3.4B (implied EV/EBITDA multiple of ~10x). As part of the transaction, CCH will also acquire 33.48% of CCBA held by GFI. KO and CCH have also agreed to an option for CCH to acquire the remaining 25% of CCBA still owned by KO post-closing within a six-year period (CCH has call option exercisable between three and five

years following completion and KO has a put option exercisable between three-and-a-half and six years following completion). The transaction is targeted to close by end of 2026. Following the closing of the transaction, Bottling Investments are expected to account for ~5% of KO's revenues, down from ~13% in 2024 and 52% in 2015. In CCH's press release, the company provided some financial information for CCBA (ex-Ghana, which was sold in July 2025) including 2024 sales/EBIT/EBITDA \$3,623M/\$267M (7.3% margin)/\$465M (12.8% margin). With that, refranchising of CCBA could provide a boost of nearly 200 bps to KO EBIT margins, which would have the company approaching mid-30s% margin by 2027. Following the sale of 40% stake in Hindustan Coca-Cola Holdings Pvt. Ltd. to Jubilant Bhartia Group in July and announced agreement to sell a majority stake in CCBA to CCH, the company has largely completed the pathway to the refranchising efforts begun in 2015, with only a few small countries to remain within BIG following transaction completion, including Malaysia and Singapore, for example.

- **Remain Positive on Potential in Protein Drinks into 2026.** Management remains constructive on the opportunity ahead for fairlife/Core Power as the company moves past capacity constraints, which are a key driver of growth moderation (e.g., in NielsenIQ FMV+C L13W 9/27/25 fairlife portfolio takeaway +18.3% vs. prior L13W 6/28/25 +39.9%). The company remains on track to open a greenfield dairy processing facility beginning of 2026, which will ramp production capacity through the year. All told, the upstate NY facility should provide a 30% lift to capacity once fully operational and lead to “unconstrained” supply for KO, which we believe will lead to increased availability, more marketing efforts behind the brands, and innovation. While dairy industry dynamics make “lifting and shifting” internationally more of a challenge, the company is exploring taking the learnings from fairlife to other markets. For example, in Mexico, Santa Clara grew volumes +13% in 3Q and became the top value-added dairy brand in the country.
- **Constructive on Developments Relevant to Company's IRS Tax Case.** On the earnings call, CFO Murphy said “a portion of our case related to royalties from our Brazilian affiliate that were blocked under Brazilian law. The recent 3M appellate court decision addressed the same underlying regulation. We believe this case is highly supportive of our position... We're continuing to vigorously defend our overall position and are encouraged about our chances of prevailing on appeal.” Earlier this month, the U.S. Court of Appeals for the Eighth Circuit overturned the U.S. Tax Court ruling on 3M's case. KO's case is in the Eleventh Circuit, but it believes that the 3M ruling may be supportive of its appeal. Recall, in addition to the \$6B already deposited with the IRS for tax years 2007 through 2009 plus accrued interest, the company could face an incremental \$12B liability for years 2010 through 2024, as of 12/31/24, and an increased effective tax rate of 350 bps if it does not prevail on appeal. Our understanding is that there is not yet a date set for KO's appeal.
- **Reiterated 2025 OSG and EPS Guidance, Lifted FCF Outlook.** KO reiterated guidance for OSG +5-6% (vs. CM into print +5.2%) and comparable EPS growth of +3% (vs. consensus +3.2% into print), which implies 2025 EPS of about \$2.97 (vs. consensus \$2.98 into print). KO reiterated currency-neutral EPS growth outlook of 8% and FX headwind to EPS of -5%. The company also continues to expect FX to be a -1% to -2% headwind to the top-line and for structural changes to be a -1% headwind to both top-line and EPS growth. The company also continued to note, “the company's operations are primarily local, however, it is subject to global trade dynamics which may impact certain components of the company's cost structure across its markets. At this time, the company expects the impact to be manageable.”

Below the line, KO now expects an effective tax rate of 20.7% (vs. 20.8% before). KO now expects free cash flow (non-GAAP, excluding fairlife contingent consideration payment of \$6.1B) of at least \$9.8B (from \$9.5B before) based on \$12.0B (from \$11.7B before) cash flow from operations (non-GAAP, excluding fairlife contingent consideration payment of \$6.1B) and capital expenditures of \$2.2B. For 4Q25, the company is expecting FX to be a “slight tailwind” to the top-line and -4% to -5% headwind to EPS growth. There will be an extra calendar day in 4Q25.

- **Summary of Estimate Changes.** We now model for OSG +5.6% (from +5.4% before); we now model for concentrate shipments +0.2% (from +0.3%) and price/mix +5.4% (from +5.1% before). Our 2025 EPS estimate moves to \$2.99 (+3.5%) from \$2.98 (+3.3%).
- **3Q25 Recap.** KO reported 3Q25 comparable EPS of \$0.82, which beat JPMe/consensus \$0.79/\$0.78 by +4.2%/+5.3%. Upside vs. our estimates was driven by higher-than-expected equity income (+\$0.02 vs. JPMe) and lower-than-expected interest expense (+\$0.01 vs. JPMe). Organic sales growth (OSG) of +6% was ahead of JPMe/Consensus Metrix (CM) +4.9%/+4.6%, or +7% on a unit case volume basis vs. JPMe/CM +5.6%/+4.9%. Unit case volumes were +1% (vs. JPMe/CM +0.6%/+0.3%) while concentrate shipments were flat (vs. JPMe/CM -0.1%/-0.2%). Price/mix was +6% (vs. JPMe/CM +5.0%/+4.6%). Gross margins of 61.0% were -12 bps YOY (underlying +80 bps YOY, FX -100 bps YOY, structural changes +10 bps YOY) and came in a touch below JPMe/consensus 61.5%/61.4%. Operating expense ratio of 29.1% was 128 bps favorable YOY and compared with JPMe/consensus 29.6%/30.0%. As such, EBIT margins of 31.9% (+116 bps YOY) were in-line with JPMe 31.9% and ahead of consensus 31.4%.





## Investment Thesis, Valuation and Risks

### Coca-Cola (Overweight; Price Target: \$79.00)

#### Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

#### Valuation

Our Dec 2026 price target is \$79, based on 22.7x P/E (in-line with KO's 10-year average multiple) on our 2027 EPS estimate of \$3.48, despite some deceleration in volume (still best-in-class), better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$79 price target implies ~11% upside potential in the next approximately 14 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

#### Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) economic weakness leading to material pressure in the away-from-home channel; (2) uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements – all of which could drive further negative earnings revisions.

## Coca-Cola: Summary of Financials

| Income Statement - Annual           |          |          |          |          |          | Income Statement - Quarterly |          |          |          |         |        |
|-------------------------------------|----------|----------|----------|----------|----------|------------------------------|----------|----------|----------|---------|--------|
|                                     | FY23A    | FY24A    | FY25E    | FY26E    | FY27E    |                              | 1Q25A    | 2Q25A    | 3Q25A    | 4Q25E   |        |
| Revenue                             | 45,784   | 46,897   | 48,305   | 50,969   | 53,390   | Revenue                      | 11,216A  | 12,617A  | 12,412A  | 12,060  |        |
| COGS                                | (18,465) | (18,254) | (18,702) | (19,717) | (20,546) | COGS                         | (4,195)A | (4,766)A | (4,837)A | (4,904) |        |
| Gross profit                        | 27,319   | 28,643   | 29,603   | 31,252   | 32,844   | Gross profit                 | 7,021A   | 7,851A   | 7,575A   | 7,156   |        |
| SG&A                                | (13,983) | (14,558) | (14,565) | (15,195) | (15,752) | SG&A                         | (3,234)A | (3,470)A | (3,618)A | (4,243) |        |
| Adj. EBITDA                         | 14,464   | 15,160   | 16,163   | 17,324   | 18,491   | Adj. EBITDA                  | 4,054A   | 4,660A   | 4,225A   | 3,224   |        |
| D&A                                 | (1,128)  | (1,075)  | (1,124)  | (1,267)  | (1,398)  | D&A                          | (267)A   | (279)A   | (268)A   | (310)   |        |
| Adj. EBIT                           | 13,336   | 14,085   | 15,038   | 16,057   | 17,093   | Adj. EBIT                    | 3,787A   | 4,381A   | 3,957A   | 2,913   |        |
| Net Interest                        | (645)    | (693)    | (903)    | (925)    | (764)    | Net Interest                 | (213)A   | (263)A   | (212)A   | (215)   |        |
| Adj. PBT                            | 14,403   | 15,333   | 16,248   | 17,404   | 18,771   | Adj. PBT                     | 3,961A   | 4,746A   | 4,451A   | 3,090   |        |
| Tax                                 | (2,737)  | (2,852)  | (3,367)  | (3,606)  | (3,889)  | Tax                          | (824)A   | (987)A   | (913)A   | (643)   |        |
| Minority Interest                   | 11       | (18)     | 2        | 22       | 42       | Minority Interest            | (5)A     | 7A       | 13A      | (13)    |        |
| Adj. Net Income                     | 11,677   | 12,463   | 12,884   | 13,819   | 14,923   | Adj. Net Income              | 3,132A   | 3,766A   | 3,551A   | 2,435   |        |
| Reported EPS                        | 2.69     | 2.88     | 2.99     | 3.21     | 3.48     | Reported EPS                 | 0.73A    | 0.87A    | 0.82A    | 0.56    |        |
| Adj. EPS                            | 2.69     | 2.88     | 2.99     | 3.21     | 3.48     | Adj. EPS                     | 0.73A    | 0.87A    | 0.82A    | 0.56    |        |
| DPS                                 | 1.83     | 1.93     | 2.04     | 2.07     | 2.20     | DPS                          | 0.02A    | 0.51A    | 0.49A    | 1.02    |        |
| Payout ratio                        | 68.1%    | 67.1%    | 68.3%    | 64.6%    | 63.2%    | Payout ratio                 | 2.8%A    | 58.3%A   | 59.4%A   | 181.0%  |        |
| Shares outstanding                  | 4,339    | 4,320    | 4,313    | 4,304    | 4,292    | Shares outstanding           | 4,313A   | 4,315A   | 4,313A   | 4,311   |        |
| Balance Sheet & Cash Flow Statement |          |          |          |          |          | Ratio Analysis               |          |          |          |         |        |
|                                     | FY23A    | FY24A    | FY25E    | FY26E    | FY27E    |                              | FY23A    | FY24A    | FY25E    | FY26E   | FY27E  |
| Cash and cash equivalents           | 9,366    | 10,828   | 9,659    | 9,659    | 9,486    | Gross margin                 | 59.7%    | 61.1%    | 61.3%    | 61.3%   | 61.5%  |
| Accounts receivable                 | 3,410    | 3,569    | 3,774    | 3,820    | 4,136    | EBITDA margin                | 31.6%    | 32.3%    | 33.5%    | 34.0%   | 34.6%  |
| Inventories                         | 4,424    | 4,728    | 4,958    | 4,967    | 5,232    | EBIT margin                  | 29.1%    | 30.0%    | 31.1%    | 31.5%   | 32.0%  |
| Other current assets                | 9,532    | 6,872    | 6,312    | 6,336    | 6,531    | Net profit margin            | 25.5%    | 26.6%    | 26.7%    | 27.1%   | 28.0%  |
| Current assets                      | 26,732   | 25,997   | 24,704   | 24,782   | 25,384   | ROE                          | 46.7%    | 49.1%    | 47.6%    | 43.6%   | 40.6%  |
| PP&E                                | 9,236    | 10,303   | 11,561   | 12,566   | 13,547   | ROA                          | 12.3%    | 12.6%    | 12.6%    | 13.2%   | 14.1%  |
| LT investments                      | 118      | 0        | 0        | 0        | 0        | ROCE                         | 16.8%    | 17.0%    | 16.6%    | 16.8%   | 17.5%  |
| Other non current assets            | 61,617   | 64,249   | 67,896   | 67,896   | 67,896   | SG&A/Sales                   | 30.5%    | 31.0%    | 30.2%    | 29.8%   | 29.5%  |
| Total assets                        | 97,703   | 100,549  | 104,161  | 105,244  | 106,828  | Net debt/equity              | 1.1      | 1.2      | 1.2      | 0.9     | 0.7    |
| Short term borrowings               | 4,557    | 1,499    | 2,319    | 2,319    | 2,319    | P/E (x)                      | 26.5     | 24.7     | 23.8     | 22.2    | 20.5   |
| Payables                            | 15,485   | 21,715   | 16,840   | 16,689   | 17,393   | P/BV (x)                     | 11.9     | 12.4     | 10.5     | 9.0     | 7.7    |
| Other short term liabilities        | 3,529    | 2,035    | 3,387    | 2,837    | 2,339    | EV/EBITDA (x)                | 21.2     | 20.5     | 19.4     | 18.0    | 16.6   |
| Current liabilities                 | 23,571   | 25,249   | 22,546   | 21,845   | 22,052   | Dividend Yield               | 2.6%     | 2.7%     | 2.9%     | 2.9%    | 3.1%   |
| Long-term debt                      | 35,547   | 42,375   | 43,177   | 40,177   | 36,177   | Sales/Assets (x)             | 0.5      | 0.5      | 0.5      | 0.5     | 0.5    |
| Other long term liabilities         | 11,105   | 6,553    | 7,102    | 7,102    | 7,102    | Interest cover (x)           | 22.4     | 21.9     | 17.9     | 18.7    | 24.2   |
| Total liabilities                   | 70,223   | 74,177   | 72,825   | 69,124   | 65,331   | Operating leverage           | 126.2%   | 231.0%   | 225.4%   | 122.9%  | 135.7% |
| Shareholders' equity                | 25,941   | 24,856   | 29,316   | 34,100   | 39,477   | Revenue y/y Growth           | 6.4%     | 2.4%     | 3.0%     | 5.5%    | 4.8%   |
| Minority interests                  | 1,539    | 1,516    | 2,020    | 2,020    | 2,020    | EBITDA y/y Growth            | 6.3%     | 4.8%     | 6.6%     | 7.2%    | 6.7%   |
| Total liabilities & equity          | 97,703   | 100,549  | 104,161  | 105,244  | 106,828  | Tax rate                     | 19.0%    | 18.6%    | 20.7%    | 20.7%   | 20.7%  |
| BVPS                                | 5.98     | 5.75     | 6.80     | 7.92     | 9.20     | Adj. Net Income y/y Growth   | 8.1%     | 6.7%     | 3.4%     | 7.3%    | 8.0%   |
| y/y Growth                          | 7.9%     | (3.8%)   | 18.1%    | 16.6%    | 16.1%    | EPS y/y Growth               | 8.4%     | 7.2%     | 3.5%     | 7.5%    | 8.3%   |
| Net debt/(cash)                     | 29,701   | 31,674   | 36,615   | 33,615   | 29,788   | DPS y/y Growth               | 4.7%     | 5.6%     | 5.4%     | 1.7%    | 6.0%   |
| Cash flow from operating activities | 11,599   | 6,805    | 5,914    | 14,307   | 15,752   |                              |          |          |          |         |        |
| o/w Depreciation & amortization     | 1,128    | 1,075    | 1,124    | 1,267    | 1,398    |                              |          |          |          |         |        |
| o/w Changes in working capital      | (846)    | (6,234)  | (9,422)  | (229)    | (71)     |                              |          |          |          |         |        |
| Cash flow from investing activities | (3,349)  | 2,524    | 7        | (2,272)  | (2,379)  |                              |          |          |          |         |        |
| o/w Capital expenditure             | (1,852)  | (2,064)  | (2,200)  | (2,272)  | (2,379)  |                              |          |          |          |         |        |
| as % of sales                       | 4.0%     | 4.4%     | 4.6%     | 4.5%     | 4.5%     |                              |          |          |          |         |        |
| Cash flow from financing activities | (8,310)  | (6,910)  | (7,453)  | (12,036) | (13,546) |                              |          |          |          |         |        |
| o/w Dividends paid                  | (7,952)  | (8,359)  | (8,800)  | (8,925)  | (9,436)  |                              |          |          |          |         |        |
| o/w Net debt issued/(repaid)        | 1,857    | 2,528    | 688      | (3,000)  | (4,000)  |                              |          |          |          |         |        |
| Net change in cash                  | (133)    | 1,796    | (1,197)  | (0)      | (173)    |                              |          |          |          |         |        |
| Adj. Free cash flow to firm         | 9,747    | 4,741    | 3,714    | 12,036   | 13,373   |                              |          |          |          |         |        |
| y/y Growth                          | 2.2%     | (51.4%)  | (21.7%)  | 224.1%   | 11.1%    |                              |          |          |          |         |        |

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which



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Coca-Cola (KO, KO US) Price Chart



| Date      | Rating | Price (\$) | Price Target (\$) |
|-----------|--------|------------|-------------------|
| 26-Oct-22 | OW     | 58.95      | 64                |
| 17-Jan-23 | OW     | 61.43      | 67                |
| 17-Apr-23 | OW     | 63.05      | 68                |
| 14-Jul-23 | OW     | 60.35      | 67                |
| 27-Jul-23 | OW     | 63.05      | 71                |
| 16-Oct-23 | OW     | 52.89      | 59                |
| 24-Oct-23 | OW     | 54.08      | 62                |
| 31-Jan-24 | OW     | 59.90      | 64                |
| 14-Feb-24 | OW     | 59.35      | 66                |
| 19-Apr-24 | OW     | 58.91      | 65                |
| 01-May-24 | OW     | 61.77      | 68                |
| 10-Jul-24 | OW     | 62.69      | 72                |
| 30-Sep-24 | OW     | 71.79      | 78                |
| 23-Oct-24 | OW     | 69.45      | 75                |
| 28-Jan-25 | OW     | 63.87      | 70                |
| 11-Feb-25 | OW     | 64.55      | 74                |
| 21-Apr-25 | OW     | 73.00      | 78                |
| 29-Apr-25 | OW     | 71.79      | 79                |
| 18-Jul-25 | OW     | 70.59      | 77                |
| 22-Jul-25 | OW     | 70.07      | 79                |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

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